

INVENTORY CONTROL

Outline

Inventory Examples

- Inventory
 - ATM/Banks
 - Raw Materials
 - Super Market
 - Airline
 - FG/Consumer goods

Definition

An Inventory is an Idle Resource Of Any Kind ,Provided Such a resource has economic Value

(Eg -Red Earth)

Objectives of Keeping Inventory

Transactional

Precautionary

Speculative

Objectives of Keeping Inventory

1. To ensure continuous supply of materials spares and finished goods so that production should not suffer at any time and the customer's demand should also be met.
2. To avoid both overstocking and under-stocking of inventory.
3. To maintain investment in inventories at the optimum level as required by the operational and sales activities.
4. To keep materials cost under control so that they contribute in reducing cost of production and overall cost.
5. To eliminate duplication in ordering or replenishing stocks. This is possible with the help of centralising purchases.
6. To minimise losses through deterioration, pilferage, wastages and damages.

Objectives

7. To design proper organisation for inventory management. Clear cut accountability should be fixed at various levels of the organisation.
8. To ensure perpetual inventory control so that materials shown in stock ledgers should

Types of Inventories-Manufacturing Industries

1.Raw materials

The reason for holding raw materials is to reap the price advantage available on purchase of bulk or on any seasonal raw materials which can be procured only during the harvest seasons.

2.Work-in-progress Inventories

The reason is to balance the production flow.

Inventory Problems-Structure

Analysis of Inventory Problem Should
Provide Two Answers

- How Much to be Ordered/Stocked
- When ot Stock/Order

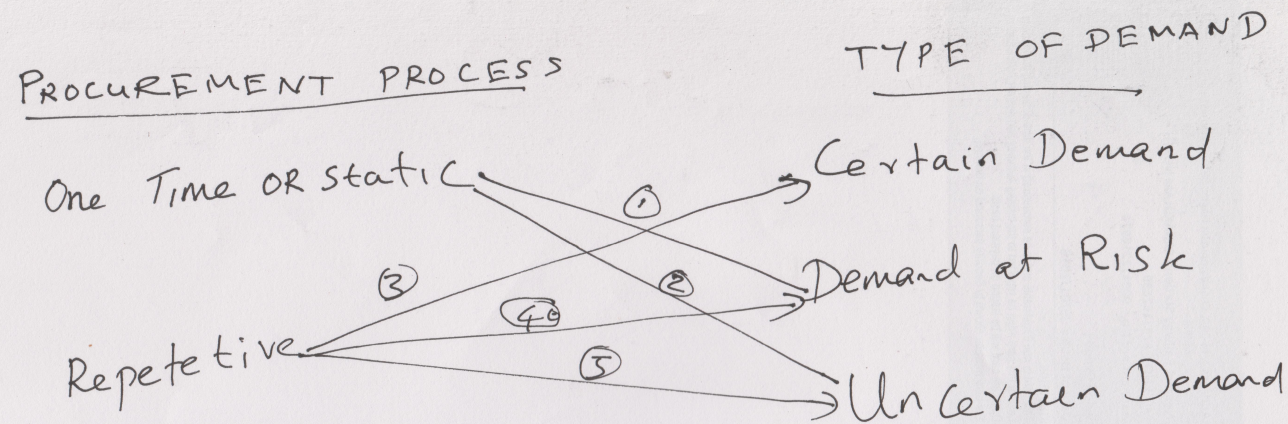
Inventory Problems

- The nature of Inventory Problem is dependent on the type of Demand
- Certain Demand
 - (Eg) Raw materials/components for a known level of production
- Probabilistic Demand
 - (Eg) Cigarettes sold by a vendor/news paper boy
- Uncertain Demand

Procurement Proces

- One Time or Static
 - Eg Xmas trees/Fashion Clothes
- Repetative or Dynamic
 - Raw materials

Types of Inventory Problems for Analyses



- ① static Inventory Problems under Risk
- (2) static Inventory Problems under Uncertainty
- (3) Dynamic Inventory Problems under Certainty
- (4) Dynamic Inventory Problems under Risk
- (5) Dynamic Inventory Problems under Uncertainty

①, ③ & ④ are included in the syllabus